

LEGISLATURE OF NEBRASKA
ONE HUNDRED NINTH LEGISLATURE
SECOND SESSION

LEGISLATIVE BILL 786

Introduced by Sanders, 45.

Read first time January 07, 2026

Committee:

- 1 A BILL FOR AN ACT relating to veterans; to amend sections 60-3,122.03 and
- 2 60-3,122.04, Revised Statutes Supplement, 2025; to change provisions
- 3 relating to Military Honor Plates under the Motor Vehicle
- 4 Registration Act; to create a fund; to provide for grants to needy
- 5 uniformed service members of the Military Department; to provide
- 6 duties to the Adjutant General; and to repeal the original sections.
- 7 Be it enacted by the people of the State of Nebraska,

1 **Section 1.** Section 60-3,122.03, Revised Statutes Supplement, 2025,
2 is amended to read:

3 60-3,122.03 (1) The department shall design license plates to be
4 known as Military Honor Plates.

5 (2)(a) The department shall create a design for each of the
6 following armed forces that honors ~~designs honoring~~ persons who have
7 served or are serving in the:

8 (i) United States Army; ~~τ~~

9 (ii) United States Army Reserve; ~~τ~~

10 (iii) United States Navy; ~~τ~~

11 (iv) United States Navy Reserve; ~~τ~~

12 (v) United States Marine Corps; ~~τ~~

13 (vi) United States Marine Corps Reserve; ~~τ~~

14 (vii) United States Coast Guard; ~~τ~~

15 (viii) United States Coast Guard Reserve; ~~τ~~

16 (ix) United States Air Force; ~~τ~~

17 (x) United States Air Force Reserve; ~~or τ~~

18 (xi) United States Space Force. ~~τ~~

19 (b) The department shall create a design for each of the following
20 armed forces that honors persons who have served or are serving in the:

21 (i) Air National Guard; ~~τ or~~

22 (ii) Army National Guard.

23 ~~(b) The department may begin issuing the license plates with the~~
24 ~~design honoring persons who have served or are serving in the United~~
25 ~~States Space Force on January 1, 2026.~~

26 (3) The design for each of the armed forces specified in subsection
27 (2) of this section shall reflect the ~~There shall be thirteen such~~
28 ~~designs, one for each of such armed forces reflecting its official~~
29 ~~emblem, official seal, or other official image of such armed forces.~~ The
30 issuance of plates for each of such armed forces shall be conditioned on
31 the approval of the armed forces owning the copyright to the official

1 emblem, official seal, or other official image.

2 ~~(4) (a)~~ The department shall create six additional designs
3 honoring persons who are serving or have served in the armed forces of
4 the United States and who have been awarded the Afghanistan Campaign
5 Medal, Iraq Campaign Medal, Global War on Terrorism Expeditionary Medal,
6 Southwest Asia Service Medal, Vietnam Service Medal, or Inherent Resolve
7 Campaign Medal.

8 ~~(b) A person may apply for license plates with the Inherent Resolve~~
9 ~~Campaign Medal beginning on January 1, 2026.~~

10 (5) The department shall create the following additional designs
11 honoring persons who are serving or have served in the armed forces of
12 the United States ~~and may begin issuing such license plates on January 1,~~
13 ~~2026:~~

14 (a) One design that includes the word "veteran"; and

15 (b) One design that includes the word "veteran" and the
16 internationally accepted wheelchair symbol specified in section 60-3,113.

17 (6)(a) A person may qualify for a Military Honor Plate by
18 registering with the Department of Veterans' Affairs pursuant to section
19 80-414. The Department of Motor Vehicles shall verify the applicant's
20 eligibility for a plate created pursuant to this section by consulting
21 the registry established by the Department of Veterans' Affairs.

22 (b) To be eligible for the license plates described in subdivision
23 (5)(b) of this section, in addition to any other eligibility requirements
24 for such license plates under this section:

25 (i) An application and proof of disability in the form and with the
26 information required by section 60-3,113.02 shall be submitted before
27 issuance or reissuance of such license plates; and

28 (ii) The handicap or disability of the handicapped or disabled
29 person shall be certified as permanent.

30 (7) The design shall be selected on the basis of limiting the
31 manufacturing cost of each plate to an amount less than or equal to the

1 amount charged for license plates pursuant to section 60-3,102. The
2 Department of Motor Vehicles shall make applications available for each
3 type of plate when it is designed. The department may adopt and
4 promulgate rules and regulations to carry out this section and section
5 60-3,122.04.

6 (8) One type of Military Honor Plates shall be alphanumeric plates.
7 The department shall:

8 (a) Assign a designation up to five characters; and

9 (b) Not use a county designation.

10 (9) One type of Military Honor Plates shall be personalized message
11 plates. Such plates shall be issued subject to the same conditions
12 specified for personalized message license plates in section 60-3,118,
13 except that a maximum of five characters may be used.

14 (10) The department shall cease to issue Military Honor Plates
15 beginning with the next license plate issuance cycle after the license
16 plate issuance cycle that begins in 2023 pursuant to section 60-3,101 if
17 the total number of registered vehicles that obtained such plates is less
18 than one hundred per year within any prior consecutive two-year period.

19 **Sec. 2.** Section 60-3,122.04, Revised Statutes Supplement, 2025, is
20 amended to read:

21 60-3,122.04 (1)(a) An eligible person may apply to the department
22 for Military Honor Plates in lieu of regular license plates on an
23 application prescribed and provided by the department for any motor
24 vehicle, trailer, or semitrailer, except for a motor vehicle or trailer
25 registered under section 60-3,198. An applicant receiving a Military
26 Honor Plate for a farm truck with a gross weight of over sixteen tons
27 shall affix the appropriate tonnage decal to the plate.

28 (b) The department shall make forms available for such applications
29 through the county treasurers.

30 (c) The license plates shall be issued upon payment of the license
31 fee described in subsection (2) of this section and verification by the

1 department of an applicant's eligibility using the registry established
2 by the Department of Veterans' Affairs pursuant to section 80-414. To be
3 eligible an applicant shall be:

4 (i) Active duty or reserve duty armed forces personnel serving in
5 any of the armed forces listed in subsection (2) of section 60-3,122.03
6 or a veteran of any of such armed forces who was discharged or otherwise
7 separated with a characterization of honorable or general (under
8 honorable conditions);

9 (ii) A current or former commissioned officer of the United States
10 Public Health Service or National Oceanic and Atmospheric Administration
11 who has been detailed directly to any branch of such armed forces for
12 service on active or reserve duty and who was discharged or otherwise
13 separated with a characterization of honorable or general (under
14 honorable conditions) as proven with valid orders from the United States
15 Department of Defense, a statement of service provided by the United
16 States Public Health Service, or a report of transfer or discharge
17 provided by the National Oceanic and Atmospheric Administration;

18 (iii) A person who is serving or has served in the armed forces of
19 the United States and who has been awarded the Afghanistan Campaign
20 Medal, Iraq Campaign Medal, Global War on Terrorism Expeditionary Medal,
21 Southwest Asia Service Medal, Vietnam Service Medal, or Inherent Resolve
22 Campaign Medal;

23 (iv) For the license plate described in subdivision (5)(a) of
24 section 60-3,122.03, a person who is serving or has served in the armed
25 forces of the United States;

26 (v) For the license plate described in subdivision (5)(b) of section
27 60-3,122.03, a person who is serving or has served in the armed forces of
28 the United States and is permanently handicapped or disabled; or

29 (vi) ~~A Beginning January 1, 2026,~~ a trust that owns the motor
30 vehicle, trailer, or semitrailer if a designated beneficiary of the trust
31 qualifies under this subdivision (1)(c).

1 (d) Any person using Military Honor Plates shall surrender the
2 plates to the county treasurer if such person is no longer eligible for
3 the plates. Regular plates shall be issued to any such person upon
4 surrender of the Military Honor Plates for a three-dollar transfer fee
5 and forfeiture of any of the remaining annual fee. The three-dollar
6 transfer fee shall be remitted to the State Treasurer for credit to the
7 Department of Motor Vehicles Cash Fund.

8 (2)(a) In addition to all other fees required for registration under
9 the Motor Vehicle Registration Act, each application for initial issuance
10 or renewal of alphanumeric Military Honor Plates shall be accompanied by
11 a fee of five dollars. County treasurers collecting such fee fees
12 pursuant to this subdivision shall remit such fee ~~them~~ to the State
13 Treasurer. The State Treasurer shall credit such fee to the designated
14 recipient specified in subdivision (c) of this subsection. ~~five dollars~~
15 ~~of the fee to the Nebraska Veteran Cemetery System Operation Fund.~~

16 (b) In addition to all other fees required for registration under
17 the Motor Vehicle Registration Act, each application for initial issuance
18 or renewal of personalized message Military Honor Plates shall be
19 accompanied by a fee of forty dollars. County treasurers collecting such
20 fee fees pursuant to this subdivision shall remit such fee ~~them~~ to the
21 State Treasurer. The State Treasurer shall credit twenty-five percent of
22 such the fee for initial issuance and renewal of such plates to the
23 Department of Motor Vehicles Cash Fund and seventy-five percent of such
24 the fee to the designated recipient specified in subdivision (c) of this
25 subsection. ~~Nebraska Veteran Cemetery System Operation Fund.~~

26 (c) The designated recipient for the fee paid for any license plate
27 described in:

28 (i) Subdivision (2)(a) or subsection (4) or (5) of section
29 60-3,122.03 is the Nebraska Veteran Cemetery System Operation Fund; or

30 (ii) Subdivision (2)(b) of section 60-3,122.03 is the Military
31 Department Aid Fund.

1 (3)(a) When the department receives an application for Military
2 Honor Plates, the department may deliver the plates and registration
3 certificate to the applicant by United States mail or to the county
4 treasurer of the county in which the motor vehicle or trailer is
5 registered and the delivery of the plates and registration certificate
6 shall be made through a secure process and system. If delivery of the
7 plates and registration certificate is made by the department to the
8 applicant, the department may charge a postage and handling fee in an
9 amount not more than necessary to recover the cost of postage and
10 handling for the specific items mailed to the registrant. The department
11 shall remit the fee to the State Treasurer for credit to the Department
12 of Motor Vehicles Cash Fund. The county treasurer or the department shall
13 issue Military Honor Plates in lieu of regular license plates when the
14 applicant complies with the other provisions of the Motor Vehicle
15 Registration Act for registration of the motor vehicle or trailer. If
16 Military Honor Plates are lost, stolen, or mutilated, the licensee shall
17 be issued replacement license plates upon request pursuant to section
18 60-3,157.

19 (b) The county treasurer or the department may issue temporary
20 license stickers to the applicant under this section for the applicant to
21 lawfully operate the vehicle pending receipt of the license plates. No
22 charge in addition to the registration fee shall be made for the issuance
23 of a temporary license sticker under this subdivision. The department
24 shall furnish temporary license stickers for issuance by the county
25 treasurer at no cost to the counties. The department may adopt and
26 promulgate rules and regulations regarding the design and issuance of
27 temporary license stickers.

28 (4) The owner of a motor vehicle or trailer bearing Military Honor
29 Plates may apply to the county treasurer to have such plates transferred
30 to a motor vehicle or trailer other than the motor vehicle or trailer for
31 which such plates were originally purchased if such motor vehicle or

1 trailer is owned by the owner of the plates. The owner may have the
2 unused portion of the fee for the plates credited to the other motor
3 vehicle or trailer which will bear the plates at the rate of eight and
4 one-third percent per month for each full month left in the registration
5 period. Application for such transfer shall be accompanied by a fee of
6 three dollars. Fees collected pursuant to this subsection shall be
7 remitted to the State Treasurer for credit to the Department of Motor
8 Vehicles Cash Fund.

9 (5) If the cost of manufacturing Military Honor Plates at any time
10 exceeds the amount charged for license plates pursuant to section
11 60-3,102, any money to be credited to the designated recipient specified
12 in subdivision (2)(c) of this section ~~Nebraska Veteran Cemetery System~~
13 ~~Operation Fund~~ shall instead be credited first to the Highway Trust Fund
14 in an amount equal to the difference between the manufacturing costs of
15 Military Honor Plates and the amount charged pursuant to section 60-3,102
16 with respect to such plates and the remainder shall be credited to the
17 designated recipient specified in subdivision (2)(c) of this section
18 ~~Nebraska Veteran Cemetery System Operation Fund~~.

19 (6) If the director discovers evidence of fraud in an application
20 for Military Honor Plates or that the holder is no longer eligible to
21 have Military Honor Plates, the director may summarily cancel the plates
22 and registration and send notice of the cancellation to the holder of the
23 license plates.

24 **Sec. 3.** (1) The Military Department Aid Fund is created. The
25 Adjutant General shall administer the fund. The fund shall consist of
26 gifts, grants, bequests, money received from any public or private
27 source, money credited pursuant to section 60-3,122.04, and money
28 transferred to the fund by the Legislature.

29 (2) Any money in the fund available for investment shall be invested
30 by the state investment officer pursuant to the Nebraska Capital
31 Expansion Act and the Nebraska State Funds Investment Act. Any interest

1 or realized capital gains from any such investment shall be credited to
2 the Military Department Aid Fund.

3 (3) The Military Department Aid Fund shall only be used pursuant to
4 this section.

5 (4) The Adjutant General may award grants from the Military
6 Department Aid Fund pursuant to section 4 of this act.

7 **Sec. 4.** (1) A member of the Military Department may apply to the
8 Adjutant General for a grant under this section. The Adjutant General
9 shall prescribe the form for the application.

10 (2) The Adjutant General may award a grant to any member of the
11 Military Department who applies under this section and meets the
12 qualifications of an eligible grant recipient that are adopted and
13 promulgated in rules and regulations by the Adjutant General.

14 (3) The State of Nebraska shall not require or request any recipient
15 of a grant awarded under this section to reimburse any money received
16 from such grant.

17 (4) No later than January 1, 2027, the Adjutant General shall adopt
18 and promulgate rules and regulations for the qualifications of an
19 eligible grant recipient. Any such rules and regulations shall limit the
20 eligible recipients of any grant awarded under this section to needy
21 uniformed service members of the Military Department.

22 (5) The Adjutant General may adopt and promulgate rules and
23 regulations to carry out this section.

24 **Sec. 5.** Original sections 60-3,122.03 and 60-3,122.04, Revised
25 Statutes Supplement, 2025, are repealed.